

What is the scope of a clause restricting the right of subrogation?

Case Name:

GPS Power Pty Ltd v Gardiner
Willis Associates Pty Ltd

Citation:

Supreme Court of Queensland,
Court of Appeal per de Jersey
CJ, Pincus JA and Williams SJ

Date of Judgment:

8 December 2001

Issues:

- subrogation
- construction of clause restricting the right of subrogation
- whether a waiver of the right of subrogation is commensurate with cover under the policy

This is an appeal from a decision of Mackenzie J reported in our 2000 Annual Review

The facts

The defendant argued that because it was an insured under the policy of insurance, it was entitled to rely on the term of the policy restricting the insurer's right of subrogation.

The plaintiffs brought a claim for \$476,548.30 for the alleged failure by the defendant, a consulting engineering company, to exercise reasonable care and diligence as an engineer in the design, engineering drawings and detailing of a supporting structure at the Gladstone Power Station.

Their insurers indemnified the plaintiffs for \$418,716. The defendants admitted liability for loss of \$40,890.65 that was unrecovered by the plaintiffs.

In relation to the indemnified amount, the defendant argued that the provisions of the subrogation clause prevented a subrogated right being exercised against it.

The relevant provisions provided:

- (c) In the event of the insurers indemnifying or making a payment to any insured(s), the insurers shall not exercise any rights of subrogation against any other insured(s) hereunder.
- (d) The insurers agree to waive any rights and remedies or relief to which they become entitled by subrogation against –
 - (ii) Any insured named or described by this policy.

The definition of “the Insured” contained in the policy excluded consultants but only in respect of such consultant’s professional duty of care to other persons or parties included in the definition of “the Insured”.

The defendant argued that even if it was within the exclusion as a “consultant” with respect to professional negligence it remained insured for some purposes under the policy and therefore was an insured for the purpose of the subrogation clause. It relied upon the fact that the subrogation provisions were expressed in general terms.

The trial judge

Mackenzie J considered that the professional services of the defendant were excluded from the coverage of the policy. Mackenzie J then discussed the conflicting authority on the issue of whether this would prevent the subrogation clause extending to the defendant.



In *National Oilwell (UK) Ltd v Davy Offshore Ltd* (1993) 2 Lloyd's Rep 582 the waiver was held to extend only to insured losses. In contrast, in *Woodside Petroleum Development Pty Ltd v H & R-E & W Pty Ltd* (1999) 10 ANZ Ins Cases 61-430 the Court rejected the argument that waiver was commensurate with cover.

Mackenzie J concluded that the decision in *Woodside Petroleum* represented the current state of the law on the subject. Accordingly, he held that the defendant was entitled to the benefit of the subrogation clause and therefore, the subrogated claim against the defendant failed. The *Woodside Petroleum* decision is reported in our 1999 Annual Review.

The decision on appeal

The Court dismissed the appeal. It said that the waiver of subrogation clause should be given its literal or ordinary meaning. It could not be read down to achieve a "more commercial result".

The decision in this case illustrates how the operation of a clause restricting the insurer from exercising rights of subrogation may not be limited to insured losses. The Court accepted that a clause waiving the right of subrogation can be relied on by an insured who is otherwise excluded from claiming under the policy. Insurers should be mindful of the effect of waiver of subrogation clauses which are couched in general terms.

Subrogation in contract works insurance: rights of the insured unable to be exercised against a co-insured

Case Name:

Co-Operative Retail Services Limited v Taylor Young Partnership & Ors

Citation:

[2001] Lloyds Rep Ir 122, English Court of Appeal per Gibson, Brooke and Walker LJ

Date of Judgment:

July 2000

Issues:

- contractors all risk insurance
- subrogation
- rights against co-insured

In this case, the English Court of Appeal considered whether an insurer who had provided indemnity to an insured under a building contract works policy could exercise rights of subrogation against a co-insured.

The facts

The claimant (**CRS**) contracted Wimpey to build a new office. Wimpey in turn engaged Hall as electrical subcontractor.

A joint insurance policy was taken out with CGU, naming each of Wimpey, CRS and Hall. A fire occurred in the building. CRS alleged the fire was due to the negligence or breach of contract by the architects (**TYP**) and the mechanical engineer (**HLP**) (the **appellants**). CRS brought proceedings against the appellants. CRS having been indemnified under the joint named policy, the proceedings were being brought by CRS' insurers as a subrogated action. The appellants alleged that the fire resulted from breaches of the main contract between Wimpey, Hall and CRS. They sought contribution under the *Civil Liability (Contribution) Act 1978* from Wimpey and/or Hall.

The trial judge in the Technology and Construction Court refused the application.

The decision – Court of Appeal

The issue as to whether Wimpey and/or Hall could be liable to make contribution to the appellants raised two issues:

1. Whether Wimpey and Hall could ever be liable to CRS in respect of “the same damage” within the meaning of the contribution legislation. It is worth noting that the UK legislation uses similar wording to that which applies in New South Wales.
2. Further, even if that were so, the principle of circuity of action prevented the appellants bringing the claim because the claim would in turn be passed on to the insurers that caused the action to be brought against the appellants.

In *Petrofina (UK) Limited v Magnaload Limited* (1984) 1 QB 127 the court invoked the principle of circuity of action to prevent an insurer from exercising rights of subrogation against a co-insured, even though the insurance policy was only expressed to cover property damage and did not purport to provide liability coverage. The Court reviewed the authorities upon which the principle in *Petrofina* was based and subsequent authorities and concluded that it appears to be based upon the presumed intention of the parties. In each case, it is necessary to examine closely the contractual agreement between the parties, and the insurance provision will not necessarily and by rule of law override any other contractual agreement.



The Court observed that the principle has also been expressed in terms that there must in appropriate circumstances be implied into a contract of insurance a term to give business efficacy that an insurer will not use rights of subrogation in order to recoup from a coinsured the indemnity which it had paid to the insured.

The court preferred to decide the matter by reference to the contractual arrangements between the parties rather than by reference to any principle of “circuitry of action”. Viewed in that light, the court concluded that neither Wimpey nor Hall should be regarded as persons “liable in respect of the same damage” as CRS. They, like CRS, had entered into contractual arrangements which meant that if a fire occurred, they should look to the joint insurance policy to provide the costs of restoring and repairing the fire damage. It was important to the court’s reasoning that it took the view that the contractual scheme, when viewed as a whole, was intended by the parties to displace claims or cross claims based on civil liability between the parties. The court observed that in the absence of any special contractual scheme the doctrine of circuitry could have no application. The general principle of English law that the incidence of insurance should be ignored in apportioning responsibility would prevail.

This case deals with the often difficult question of in what circumstances an insurer will be prevented from exercising rights of subrogation against a coinsured. In many cases, it will be appropriate to imply a term into the contract of insurance which prevents the exercise of such rights. In other cases, the contractual arrangements between the two co-insureds will suggest a term should be implied, to the effect that there will not be any claims between them which are covered by the insurance. However, in some cases the contractual arrangements between the co-insureds may not preclude claims being brought.

The scope of a waiver of subrogation clause

Case Name:

Larson-Juhl Australia LLC v
Jaywest International Pty
Limited

Citation:

(2000) 11 ANZ Insurance
Cases ¶¶61-499, Supreme Court
of New South Wales, Court of
Appeal, per Handley, Stein JJA
and IPP AJA

Date of Judgment:

8 August 2001

Issues:

- subrogation
- construction of policy
- waiver of subrogation
rights against co-insured

This case concerns the interpretation of the scope of a waiver of subrogation clause and the limit on the insurer's right to proceed against a co-insured.

The decision of Macready M at first instance (11 ANZ Insurance Cases ¶¶61-472) was reviewed in our 2000 Annual Review.

The facts

Jaywest sold its picture framing business to Larson-Juhl. The business was carried out in leased premises and ultimately Larson-Juhl was forced to vacate the premises after the roof started to sag and the local council deemed the building unsafe. At that time, Jaywest continued to occupy part of the premises for the purpose of storing its stock. Accordingly, Jaywest's fire and business interruption policy remained in force after completion of the sale to Larson-Juhl and Larson-Juhl was added to the policy.

Following the enforced vacation of the premises, Larson-Juhl claimed under the business interruption section of the policy and the claim was met. The insurer brought a subrogated action in Larson-Juhl's name against Jaywest alleging breach of warranties in the contract of sale and misleading and deceptive conduct prior to the sale. In its defence, Jaywest sought to rely on the waiver of subrogation clause in the policy as a complete defence, despite the fact that the policy did not cover it for liabilities for breach of warranty or for misleading and deceptive conduct.

At first instance, Master Macready upheld the defence and dismissed the proceedings. He considered that the waiver of subrogation contained no express limitation either as to time, as to the nature of the cause of action, or as to the facts on which the cause of action is founded. Therefore, Jaywest could rely upon it.

The decision

On appeal, Handley JA (with whom Stein JJA and Ipp AJA agreed) agreed with the submission of the insurer that the waiver of subrogation clause was being invoked in unusual circumstances, thus distinguishing the leading cases on subrogation. However, he considered that the rights to which the insurer sought to be subrogated were also unusual, since they did not arise from conduct which caused the loss to Larson-Juhl. If the business had never been sold, the insurer would have had to compensate Jaywest.

The insurer was attempting to invoke rights that pre-dated the policy year and arose under representations that were collateral to its subject matter. Handley JA held for that reason any recovery by the insurer would be a windfall.



Rejecting submissions by the insurer that the Court import certain words into the clause in order to limit its scope, the Court considered that its duty was to construe the language of the clause fairly and simply. The clause was broadly worded, waiving “any rights and remedies or relief” and the Court found no reason to limit the generality of this expression. The appeal was dismissed.

This judgment shows that a waiver of subrogation clause may provide a benefit to the insured beyond that contemplated at the time of entering into the policy. If insurers wish to limit the scope of such waiver clauses, they will need to take care in drafting appropriate limitations to avoid the clause operating in an unintended manner.